TERM SHEET REVIEW PROTOCOL

Governing provision

The executed version, by signature date, governs over any earlier draft. The body of a document controls over its own exhibits. The primary instrument controls over internal summaries or registers of it. Correspondence (email) is not a source of record. The most recently published edition of a policy document governs. The FMV-adoption board resolution's recited report date and page count resolve any duplicate copies of the 409A report. Where a hard gate is concerned, the IC Mandate controls over any other policy document.

Closing, Conditions, and General Terms

Term Sheet Review Protocol addresses closing deliverables, required corporate and class approvals, definitive-document preparation, expenses, confidentiality, exclusivity, governing law, counterpart execution, and expiration.

Draft, redline, competing, exhibit, and executed materials retain distinct status; only the properly signed instrument governs according to the review protocol.

No illustrative capitalization schedule changes an operative provision in the document body without the approvals and amendment process stated there.

Section 1. Purpose, Scope, and the Reviewer's Duty

This protocol governs how a reviewer at the firm reads a set of transaction documents and reaches a conclusion about what they provide. Edition 6, revision 1 was approved on 2026-02-10 and took effect on 2026-02-16. It applies to every review performed for an investment decision, for a reserve computation, for a valuation, and for any report the firm issues to its limited partners, and it applies to advisers reviewing on the firm's behalf.

The reviewer's duty is to establish what the documents provide, not to produce a coherent account of what the parties probably intended. Where the documents are inconsistent the inconsistency is part of the answer, and the reviewer must record and escalate it. A reviewer who resolves an inconsistency by choosing the reading that makes the file tidy has failed to perform the review, however sensible the chosen reading is.

A conclusion is supported only if the reviewer can name the document that governs, its class under section 11, its date, and the provision relied on. A conclusion supported by a recollection, by the way a matter was described in a meeting, or by a summary the reviewer did not trace to its source is unsupported and may not be issued.

The protocol states rules of precedence and rules of procedure. It states no threshold and no measurement basis; where the application of a rule requires a figure, the figure comes from the instrument under review or from the schedule of the policy that governs the question, and the reviewer records which of the two supplied it.

Section 2. Precedence of Executed Instruments and Comparison of Dates

2.1 An executed instrument governs over any unexecuted version of the same document, and the comparison is decided by signature and not by date. Where the fund holds a signed instrument and a later draft, the signed instrument governs every provision it addresses and the draft has no operative effect on any of them. The reviewer must state this expressly in the review record where the file contains both, because the presence of a more recent draft is the single most common cause of a wrong conclusion in this class of review.

2.2 Where two executed instruments address the same provision, the instrument executed later governs that provision. The reviewer takes the execution date from the signature pages and, where the instrument was signed in counterparts on different dates, treats the instrument as executed on the date the last required signature was given. A date typed into a cover page or a file name is not an execution date and may not be used as one.

2.3 An instrument may state an effective date different from its execution date, and the two answer different questions. The effective date governs from when the terms operate; the execution date governs whether the instrument is executed at all and which of two executed instruments is the later. The reviewer records both dates separately for every instrument and never carries one forward as though it were the other.

2.4 An undated document may not be ranked. The reviewer records that the document bears no date, describes the search made to establish one, and escalates; the reviewer may not infer a date from the position of the document in a data room, from the date of the email that delivered it, or from the version number in its file name.

2.5 Where the hierarchy and the date rules would produce different answers, the hierarchy governs first and the date rules are applied within a class. A draft is not promoted above an executed instrument by being more recent, and an internal register is not promoted above the instruments by being updated more often.

Table 2.6 - Ranking of document classes and what each yields to

Rank	Document class	Typical example in the file	Controls over	Yields to
1	Executed instrument	Signed financing or governance agreement	All lower classes	Later executed amendment of the same instrument
2	Executed amendment, consent or waiver	Signed consent to a restricted act	The provision it names	Nothing, on the provision it names
3	Board or stockholder resolution	Written consent authorising an issuance	Certificates and summaries of the authority	The charter provision empowering the body
4	Exhibit or schedule to an executed instrument	Illustrative capitalization exhibit	Summaries built from it	The body of its own instrument
5	Certificate or officer's statement	Secretary's certificate at closing	Correspondence about the same fact	Any executed instrument
6	Third party report	Independent valuation report	Internal restatements of the report	The instrument the report was prepared for
7	Internal summary, register or model	Capitalization register	Working notes derived from it	Every primary document
8	Redline or comparison	Marked comparison of two drafts	Nothing	Both versions it compares
9	Draft or unexecuted version	Circulated draft agreement	Nothing	Every executed instrument, whatever the dates
10	Competing or indicative proposal	Unexecuted proposal from another party	Nothing	Every document of the executed transaction
11	Correspondence and notes	Electronic mail describing a term	Nothing	Every class above

Table 2.7 - Date comparison rules by situation

Situation	Comparison made	Rule applied	Date taken from
Two executed instruments, both dated	Compare execution dates	The later execution governs on any provision it addresses	Execution date on the signature page
Executed instrument against a draft	No comparison is made	The executed instrument governs regardless of the draft's date	Signature status, not date
Executed instrument with a stated effective date earlier than execution	Effective date governs the operation of the terms	Execution date governs which instrument is the executed one	Both dates recorded separately
Two counterparts signed on different dates	Use the latest counterpart date	The instrument is executed when the last required signature is given	Latest counterpart signature date
Amendment silent as to effective date	Treat as effective on execution	The amendment operates prospectively only	Execution date on the amendment
Consent given after the act it permits	Record the sequence	The act is unauthorised until ratified; the consent does not cure it retrospectively	Dates of act and consent
Policy document editions	Compare stated effective dates	The edition in force when the matter was decided governs that matter	Effective date and version history
Report bearing a preparation date and an as-of date	Distinguish the two	The as-of date governs what the report measures; the preparation date governs what the author knew	Both dates recorded
Undated document	Do not infer a date	The document is escalated and may not be ranked until its date is established	Absence of date recorded

Section 3. Internal Precedence Within a Single Instrument

3.1 The body of an instrument governs over its own exhibits, schedules and annexes. An exhibit illustrates, forms or lists; it does not create or vary an operative provision, and a figure in an illustrative exhibit does not amend the

provision the illustration was built from. Where the body and an exhibit conflict, the reviewer applies the body and reports the exhibit as requiring correction.

3.2 An exhibit controls only where the body says it does, in terms, on the point in question. A general statement that the exhibits form part of the instrument is not such a provision, and neither is the incorporation of an exhibit by reference. The reviewer must identify the words in the body that make the exhibit controlling and cite them, or treat the exhibit as subordinate.

3.3 Defined terms in the body govern their use throughout the instrument including in the exhibits, unless an exhibit defines a term for its own purposes and says so. Where an exhibit uses a defined term in a sense the body's definition cannot bear, the reviewer records the conflict rather than selecting the sense that makes the exhibit work.

3.4 A recital does not create an obligation and does not vary an operative provision. A recital may be used to establish the parties' understanding of the background where an operative provision is ambiguous, and the reviewer who does so records that the reliance was on a recital and escalates the ambiguity that made the reliance necessary.

Section 4. Primary Instruments Against Summaries, Registers, and Models

4.1 A primary instrument governs over any internal summary, register, schedule of terms or financial model prepared from it, whoever prepared the derived document and however carefully. A difference between the two is a defect in the derived document until the primary instrument is shown to be wrong, and the reviewer's first step on finding a difference is to re-read the primary instrument rather than to correct the summary.

4.2 A derived document may not be corrected by the reviewer. The reviewer reports the defect to the preparer, who restates and re-issues the document; the register or model then carries a new date and the reviewer's conclusion cites the restated version. A conclusion that cites a version the reviewer amended locally is unsupported and is withdrawn if discovered.

4.3 Where a register is the only available description of a class of instruments, the reviewer records that the underlying instruments were not examined and states the limitation in the conclusion. The limitation may not be omitted on the basis that the register has been reliable in the past, and it may not be cured by the preparer's confirmation that the register is complete.

4.4 A model is a derived document and is ranked as one, whatever its sophistication. A model output may be relied on for a conclusion only where the inputs have been traced to primary instruments and the tracing is on the file; a model whose inputs cannot be traced is evidence of the modeller's assumptions and of nothing about the transaction.

Section 5. Correspondence, Notes of Discussion, and Undocumented Understandings

5.1 Correspondence is not a source of record for any term. Electronic mail, messaging records, meeting notes and file notes may establish that a question was raised, when it was raised and by whom, and they may establish the sequence in which documents were delivered. They may not supply a term the instruments omit, vary a term the instruments state, or resolve an ambiguity in one.

5.2 A statement in correspondence that a party has agreed to something is evidence that the statement was made, not that the agreement exists. Where the fund's conclusion would depend on such a statement, the reviewer escalates and the firm seeks an executed instrument; the reviewer may not proceed on the footing that the instrument will follow.

5.3 An understanding a member of the deal team reports orally is recorded as a file note identifying who reported it and when, and is then treated as correspondence. The file note is made contemporaneously; a note written after the conclusion has been reached, describing an understanding that supports the conclusion, is of no evidential value and the reviewer says so in the record.

5.4 Where correspondence and an instrument describe the same term differently, both are recorded in the discrepancy register and the instrument is applied. The difference is reported to the transaction team so the parties may decide whether an amendment is required, and the reviewer does not treat the report as having resolved the difference.

Governing provision and cross-references

The executed version, by signature date, governs over any earlier draft. The body of a document controls over its own exhibits. The primary instrument controls over internal summaries or registers of it. Correspondence (email) is not a source of record. The most recently published edition of a policy document governs. The FMV-adoption board resolution's recited report date and page count resolve any duplicate copies of the 409A report. Where a hard gate is concerned, the IC Mandate controls over any other policy document.

This provision is read with the defined terms, the schedules to this instrument, and any consent or waiver recorded against it; a summary prepared from it does not vary it.

Section 6. Unsigned Counterparts, Partial Execution, and Signature Verification

6.1 An instrument is executed when every signature it calls for has been given. Until then it is an unexecuted document whatever its state of completion, and a counterpart signed by one party does not bind that party alone unless the instrument says it does. The reviewer records which signatures are present and which are absent, by party and by counterpart.

6.2 An unsigned counterpart is treated as absent. The reviewer may not treat a signature block typed with a name as a signature, may not treat a signature on an earlier version as carrying forward, and may not accept an assurance that the counterpart has been signed and will be circulated. Where the missing signature is that of a party whose consent the transaction requires, the reviewer escalates before drawing any conclusion from the instrument.

6.3 Signature verification is performed by a person other than the person who assembled the closing set, and consists of examining each signature page against the list of required signatories. The verifier records the examination, not merely its result; a note that the set was complete, without identifying what was examined, does not satisfy this section.

6.4 Where an instrument is later completed by the delivery of the missing counterpart, the instrument is executed on the date of that delivery and every conclusion drawn while it was incomplete is revisited. The reviewer updates the discrepancy register, re-signs the review record, and reports the change to any function that relied on the earlier conclusion.

6.5 A signature must be that of a person with authority to give it, and the reviewer establishes the authority rather than assuming it from the title in the signature block. For a corporate party the authority comes from the resolution or the constitutional document; for an individual acting for an entity it comes from the instrument appointing them. An instrument signed by a person whose authority cannot be established is escalated, not accepted with a note.

6.6 An electronic signature is treated as a signature where the instrument permits electronic execution and the record shows who applied it and when. The reviewer records the form of execution for each signature, because a later question about execution will be a question about the form as much as about the fact; a scanned page of unknown provenance is recorded as such.

6.7 Where the same instrument exists in the file both fully executed and partly executed, both are indexed and the difference recorded. The fully executed copy governs, and the reviewer states in the record why the partly executed copy is not the operative one; discarding the partly executed copy removes the evidence that the instrument was completed in stages.

Section 7. Precedence Among Policy Documents and Hard-Gate Questions

7.1 Where two internal policy documents of the firm address the same question, the reviewer identifies the document whose subject matter the question falls within and applies it, rather than reconciling the two. Where the question concerns a hard gate, the investment committee mandate is the document whose subject matter it falls within, and the mandate governs over any other policy of the firm on that question.

7.2 Editions of a policy are compared by stated effective date, and the edition in force when the matter under review was decided governs that matter. A superseded edition retained in the records is an archive copy; it establishes what the standard was on a past date and never what it is now, and the reviewer who cites one states the date for which it is cited.

7.3 Where a policy is silent on a question and another policy addresses it, the reviewer applies the policy that addresses it and records that the first was silent. Silence is not a prohibition, and it is not a permission either; where the answer matters to a conclusion the reviewer escalates the silence rather than filling it.

7.4 A reviewer who believes two policies genuinely conflict on a question within both their subject matters records the conflict, identifies the provisions, and escalates to the person with the decision right. The reviewer may not apply either policy in the meantime, and may not present a conclusion that averages the two or that states the answer without identifying which policy produced it.

Section 8. Recording and Preserving a Discrepancy

A discrepancy is any difference between two documents, or between a document and a register, that the reviewer cannot resolve by applying the hierarchy without discarding information. Every discrepancy is entered in the discrepancy register for the transaction, whether or not it changes a conclusion, and the entry is made when the discrepancy is found rather than when the review is completed.

DT-01 Two documents state different figures for the same term. The reviewer records both figures, the class of each document, and the date of each, and applies the hierarchy to identify which governs; the losing figure is retained in the register rather than deleted, because a later reviewer needs to see that the difference existed.

DT-02 A document states a term the governing instrument omits. The reviewer records the term, its source and its class, and states that the governing instrument is silent; a term found only in a lower class does not fill the silence and the reviewer escalates rather than reading it in.

DT-03 An exhibit contradicts the body of its own instrument. The reviewer records the contradiction with the clause and the exhibit reference, applies the rule that the body governs, and reports the exhibit as requiring correction by the parties.

DT-04 A register does not tie to the instruments. The reviewer records each untied line, identifies the instrument that should support it, and reports the register as defective; the register may not be corrected by the reviewer without the preparer restating it and re-issuing it.

DT-05 A term appears only in a redline. The reviewer records that the term appears in a comparison and not in either executed version, and states expressly that it has no operative effect; the covering correspondence is indexed with the record.

DT-06 A later draft conflicts with an earlier executed instrument. The reviewer records both, notes the draft's date and its unsigned status, and applies the executed instrument; the reviewer must resist the intuition that the more recent document is the more current statement of the parties' agreement.

DT-07 A required signature is missing from a counterpart. The reviewer records which signature is missing and from which counterpart, treats the instrument as unexecuted for that party, and escalates before any conclusion is drawn from the instrument.

DT-08 Correspondence describes a term differently from the instrument. The reviewer records the correspondence, states that it is not a source of record, and reports the difference so the parties can decide whether an amendment is needed; the reviewer does not treat the correspondence as evidence that the instrument means something other than what it says.

DT-09 A consent required by an instrument cannot be located. The reviewer records the requirement, the search performed, and the result, and treats the consent as not given; an assurance that the consent exists is recorded as correspondence and does not satisfy the requirement.

DT-10 Two policy editions would produce different answers. The reviewer records both editions with their effective dates, identifies the edition in force when the matter under review was decided, and applies it; where the matter is still open the reviewer records that both editions have been in force during its life.

The register is preserved with the review record and is delivered with any report that relies on the review. A conclusion issued without its register is incomplete, and the senior reviewer's sign-off is void where the register is absent.

Deleting an entry, or amending one so the original content cannot be read, is a disciplinary matter and is reported to the chief compliance officer.

Table 8.12 - Required fields of the discrepancy register

Field	Content required	Completed when	Completed by
Entry reference	Sequential reference for the transaction	On discovery	Reviewer
Discrepancy type	The type from the catalogue in this section	On discovery	Reviewer
First source	Document name, class, date and provision	On discovery	Reviewer
Second source	Document name, class, date and provision	On discovery	Reviewer
Statement of the difference	What each source says, in the reviewer's words	On discovery	Reviewer
Hierarchy applied	The rank applied and the rule relied on	On analysis	Reviewer
Governing source identified	Which source governs and why	On analysis	Senior reviewer
Information not carried forward	What the losing source said, retained verbatim	On analysis	Reviewer
Escalation	Whether escalated, to whom, and when	On escalation	Senior reviewer
Disposition	Resolved by amendment, unresolved, or preserved as noted	On completion	Senior reviewer

Section 9. Review Workflow, Roles, and Sign-off

The workflow in the schedule to this section is performed in order, and a step may not be started before the preceding step is complete for the whole document set. Classifying and dating the set before any substantive reading begins is what prevents a reviewer from reaching a conclusion on the documents that happen to be read first, which is the failure this workflow exists to prevent.

Sign-off is given by a senior reviewer who did not perform the classification, and is given on the review record together with the discrepancy register. The senior reviewer must be able to reach the same conclusion from the register and the cited provisions without repeating the reviewer's reading; where that is not possible the record is returned for completion rather than signed with a qualification.

A sign-off is withdrawn automatically when a further document is received into the set. The reviewer updates the register, the senior reviewer re-signs, and any function that relied on the withdrawn conclusion is notified in the same cycle. A conclusion whose sign-off has been withdrawn may not be cited in a report until it is re-signed.

Table 9.4 - Review workflow steps, ownership and blocking conditions

Workflow step	Performed by	Output required	Reviewed by	Blocking condition
Assemble the document set and index it by class	Reviewer	Class assigned to every document	Senior reviewer	Unclassified document blocks the review
Establish the date of every document	Reviewer	Execution, effective and as-of dates recorded	Senior reviewer	Undated document escalated
Identify the governing instrument for each term reviewed	Reviewer	Hierarchy applied and cited	Senior reviewer	Unsupported ranking rejected
Verify signatures and counterparts	Reviewer	Signature page examined for each party	Transaction counsel	Partial execution escalated
Record every discrepancy in the register	Reviewer	Register entry with both sources	Senior reviewer	Silent resolution is a breach
Escalate discrepancies that affect a conclusion	Senior reviewer	Escalation memorandum	Transaction counsel	Escalation may not be deferred
Sign off the review	Senior reviewer	Signed review record	Head of legal for the transaction	Sign-off without the register is void
Re-review on receipt of a further document	Reviewer	Register updated and re-signed	Senior reviewer	Stale sign-off withdrawn

Section 10. Quality Control, Sampling, and Reviewer Competence

Quality control under this protocol tests the reviewers' application of the rules, not the outcome of the transactions reviewed. The tests in the schedule to this section are performed on the stated cadence by the stated function, and their

results are reported to the head of legal for the transaction and to the chief compliance officer whether or not they identify an error.

A reviewer may sign a review record only while holding a current attestation of training on the edition in force. The attestation is renewed on each amendment of this protocol rather than annually, because the amendments are the point of the training; a reviewer without a current attestation may perform review work but may not sign off on it.

Where quality control finds that a conclusion was reached without applying the hierarchy, the conclusion is withdrawn and the transaction team is notified even where the withdrawn conclusion and the corrected one agree. The firm treats the process failure as the reportable event, since a correct answer reached by the wrong route gives no assurance about the next matter.

Table 10.4 - Quality control tests over document review

Test	Procedure	Cadence	Performed by	Reporting rule
Classification accuracy	Sample of documents re-classified independently	Quarterly	Internal review	Misclassification reported by reviewer
Date establishment	Sample of dated documents re-checked against signature pages	Quarterly	Internal review	Errors reported with the source
Hierarchy application	Sample of conclusions re-derived from the register	Quarterly	Transaction counsel	Divergent conclusion escalated
Register completeness	Discrepancies in the file compared to register entries	Every transaction	Senior reviewer	Unregistered discrepancy is a breach
Escalation timeliness	Escalation dates compared to discovery dates	Semi-annual	Chief compliance officer	Delay reported to the general partner
Reviewer competence	Attestation of training on the current edition	Annual	Head of legal	Uncertified reviewer may not sign off

Section 11. Document Classification and Defined Terms

Every document entering a review is assigned exactly one class from the catalogue below, and the class is recorded on the index before the document is read for substance. A document that appears to fall in two classes is escalated to the senior reviewer, who assigns the class and records the reason; the reviewer may not assign a class provisionally and proceed.

Class 1 - Executed instrument. A document signed by every party whose signature it calls for, in the counterparts it calls for, with no signature block left unsigned. Controls on the matters it addresses, subject only to a later executed amendment of the same instrument or an instrument the parties have agreed is superior.

Class 2 - Executed amendment, consent or waiver. A signed instrument that alters, permits a departure from, or gives a consent required by a Class 1 document, and that identifies the provision it operates on. Controls over the provision it names and over nothing else; an amendment that does not name the provision it alters is escalated rather than construed.

Class 3 - Exhibit, schedule or annex to an executed instrument. A document attached to and incorporated by a Class 1 or Class 2 instrument, including an illustrative capitalization schedule and a form of agreement to be entered into later. Yields to the body of the instrument it is attached to on any point of substance, and controls only where the body expressly makes it controlling.

Class 4 - Board or stockholder resolution. A resolution or written consent of a governing body, whether signed in counterparts or minuted at a convened meeting, that authorises or conditions an act. Controls the authority for the act and the conditions attached to it, and is read against the charter provision that empowers the body to act.

Class 5 - Certificate or officer's statement. A signed statement of fact by an officer of a party, including a secretary's certificate and a closing certificate delivered as a condition. Evidence of the fact stated as at its date, and no more; it does not alter an instrument and cannot supply a term the instrument omits.

Class 6 - Executed instrument of an earlier round. A signed instrument from a prior financing that remains in force to the extent it has not been amended, restated or terminated. Controls on the matters it still addresses; its continued operation is a question of the terms of the later instrument rather than of the passage of time.

Class 7 - Redline or comparison document. A marked comparison between two versions of a document, whether produced by software or by hand, including a comparison circulated with a covering note. Evidence of what changed between the two versions compared and of nothing else; a term appearing only in a redline has no operative effect.

Class 8 - Draft or unexecuted version. A version of a document circulated for negotiation and not signed by all parties, whatever its version number and however recently it was circulated. Has no operative effect, and a later-dated draft does not displace an earlier executed instrument on any provision.

Class 9 - Competing or indicative proposal. A proposal from a party other than the counterparty to the executed transaction, or an indicative proposal that the parties never executed. Evidence of the market context in which the transaction was negotiated; it is not a source of any term of the transaction.

Class 10 - Internal summary, register or model. A document the firm or the issuer prepares to describe or compute from primary documents, including a capitalization register, a term summary and a financial model. Yields to the primary documents it was built from; a difference between the summary and the primary document is a defect in the summary until the primary document is shown to be wrong.

Class 11 - Correspondence and notes of discussion. Electronic mail, messaging records, meeting notes and file notes, whether or not the author was a party to the transaction. Not a source of record for any term; it may establish chronology, the identity of a participant, or that a question was raised, and it may not supply, alter or interpret a term.

Class 12 - Third party report. A report prepared by an adviser or valuation professional for the issuer or the fund, including an independent valuation report and a diligence report. Evidence of the conclusions its author reached on the basis stated in it; it does not bind a party and does not alter an instrument.

Class means a category in this section. Governing document means the document the hierarchy identifies as controlling on the provision under review. Derived document means any document prepared from another, and primary instrument means the document a derived document was prepared from. Discrepancy has the meaning given in section 8, and register means the discrepancy register maintained under that section.

Execution date, effective date and as-of date bear the meanings given in section 2, and a reference to a date without qualification in a review record is read as the execution date. Reviewer means the person performing the review and senior reviewer means the person signing it off; where this protocol requires two people, one person may not perform both roles by sequencing them.

Section 12. Administration, Records, and Version History

The head of legal for the transaction administers this protocol and maintains the register of reviewer attestations. Review records and discrepancy registers are retained for the life of the fund holding the position reviewed, and are produced to the auditors, to internal review and to the limited partner advisory committee on request.

An amendment takes effect on the stated effective date. A review signed off before that date is not reopened by the amendment; a review in progress on that date is completed under the new edition and the record states that both editions applied during the review. The superseded edition is retained as an archive copy marked with the date it ceased to have effect.

Where a review record is corrected after sign-off, the correction is recorded as a separate dated entry and the original is preserved. The senior reviewer re-signs, and the correction identifies every conclusion in the record that it affects; a correction that does not identify its consequences is returned for completion.

Table 12.4 - Version history of the document review protocol

Edition	Approved on	Took effect	What changed	Current standing
Ed. 3	2018-09-11	2018-10-01	Document classes introduced; hierarchy stated as a table	Archived
Ed. 4	2020-07-14	2020-08-03	Date comparison rules separated from the hierarchy	Archived
Ed. 5	2022-11-08	2022-12-05	Duty to preserve a discrepancy made express	Archived
Ed. 6	2025-06-17	2025-07-07	Counterpart and partial	Archived

Edition	Approved on	Took effect	What changed	Current standing
			execution rules added	
Ed. 6 rev 1	2026-02-10	2026-02-16	Current edition; policy edition precedence and quality control restated	In force

Appendix A. Worked precedence situations and their outcomes

The situations below are the ones reviewers at this firm actually encounter, with the outcome the hierarchy produces in each. They are worked examples of the rules in sections 2 to 7 and add nothing to them; where an example appears to differ from a rule, the rule governs and the example is corrected on the next amendment.

Several of the outcomes are counter-intuitive, and those are the reason this appendix exists. The most recent document does not win; the most detailed document does not win; the document the parties have been working from does not win. Signature and class win, and a reviewer who finds that conclusion uncomfortable should record the discomfort as an escalation rather than resolve it by reading the hierarchy generously.

A situation not listed here is resolved by applying the rules directly, and the reviewer records that the situation was unlisted. Where an unlisted situation recurs, the head of legal for the transaction adds it to this appendix rather than allowing each reviewer to work it out again; the appendix is amended by the same process as the body of this protocol.

None of these outcomes may be varied by agreement with a transaction team, by the urgency of a decision, or by a party's assurance about what a document means. A reviewer asked to vary one records the request and reports it, and the report identifies the person who made it.

Table A.1 - Worked precedence situations and the outcome the hierarchy produces

Situation in the file	Outcome	Rule applied	What the reviewer records
Executed agreement and a later unsigned draft of it	The executed agreement governs entirely	Section 2.1	Both documents, with the draft's date and unsigned status
Two executed amendments to the same clause	The later executed amendment governs that clause	Section 2.2	Both execution dates from the signature pages
Instrument executed in counterparts on different dates	Executed on the date of the last required signature	Section 2.2	Each counterpart and its date
Instrument with an effective date before execution	Terms operate from the effective date; execution date ranks it	Section 2.3	Both dates, labelled by type
Body and an illustrative exhibit disagree	The body governs; the exhibit is reported for correction	Section 3.1	The clause and the exhibit reference
Exhibit the body expressly makes controlling	The exhibit governs on that point only	Section 3.2	The words in the body that make it controlling
Register line with no supporting instrument	The register is defective; the reviewer does not correct it	Section 4.2	The untied line and the instrument sought
Model output relied on with untraced inputs	The output evidences the modeller's assumptions only	Section 4.4	Which inputs were traced and which were not
Email stating a party has agreed a term	Not a source of record; escalated	Section 5.2	The email, and that an instrument was sought
Term appearing only in a redline	No operative effect	Section 2.6 and the class ranking	The comparison and both versions compared
Counterpart signature block typed but unsigned	Treated as absent; instrument unexecuted for that party	Section 6.2	Which signature is absent and from which counterpart
Consent given after the act it permits	Act unauthorised until ratified	Table 2.7	The dates of the act and of the consent
Two policy editions in the file	The edition in force when the matter was decided governs	Section 7.2	Both editions with their effective dates
Policy silent where another policy speaks	The policy that addresses it applies; silence recorded	Section 7.3	That the first policy was silent
Hard-gate question addressed by two policies	The investment committee mandate governs	Section 7.1	Both provisions and which was applied

Appendix B. Reviewer competence, training, and the review file

A reviewer may perform review work at any time but may sign off only while holding a current attestation of training on the edition of this protocol in force. Attestations are renewed on each amendment rather than annually, because the amendments are what the training is about, and the head of legal for the transaction maintains the register.

Training covers the class definitions, the date comparison rules, and the worked situations in Appendix A, and concludes with a re-derivation exercise on a file the trainee has not seen. A reviewer who cannot re-derive the outcomes

on that file does not receive the attestation; the firm has found that reviewers fail on the counter-intuitive situations rather than on the principles.

The review file for a transaction contains the items listed below and is retained for the life of the fund holding the position. It travels with the position on any transfer of administration, and a conclusion cited in a later engagement is cited to the file rather than restated from memory.

Internal review tests a sample of files each period against the list below and reports any file with a missing item. A missing discrepancy register is treated as a void sign-off rather than an incomplete file, because the register is the thing the sign-off attests to.

Table B.1 - Contents of the review file

Item	When created	Created by	Retained for
Document index with a class against every document	At assembly	Reviewer	Life of the fund
Date record for every document	At assembly	Reviewer	Life of the fund
Discrepancy register	On the first discrepancy	Reviewer	Life of the fund
Signature verification record	Before any conclusion is drawn	Verifier	Life of the fund
Escalation memoranda	As escalations arise	Senior reviewer	Life of the fund
Conclusions with their citations	On completion	Reviewer	Life of the fund
Sign-off record	On completion	Senior reviewer	Life of the fund
Record of documents received after sign-off	On receipt	Reviewer	Life of the fund
Notifications of a withdrawn conclusion	On withdrawal	Senior reviewer	Life of the fund
Attestations of the reviewers who signed	At sign-off	Head of legal	Ten years

Appendix C. Document sets received in stages

Transaction documents rarely arrive at once, and most of the errors this protocol exists to prevent are produced by the sequence in which they arrive rather than by their content. This appendix states how a reviewer handles the events that occur while a set is still being assembled, and each rule below exists because the firm has reached a wrong conclusion in the situation it addresses.

The index is versioned and every version is retained. A reviewer working from an index that has been overwritten cannot show which documents were in the set when a conclusion was reached, which makes the conclusion untestable even where it is right; the reviewer therefore records the index version against every conclusion.

A document that replaces one already in the set is added as a new entry and the entry it replaces is marked as replaced with the date. Neither entry is removed. Where the replacement differs from what it replaced in any respect the reviewer records the difference in the discrepancy register, because a silent replacement is indistinguishable from a correction and from a substitution.

Two copies of the same document that differ in any way are two documents, not one document delivered twice. The reviewer indexes both, records the difference, and establishes which is the document the transaction proceeded on rather than assuming the longer, the later or the more complete copy is authoritative. Differences in page count, in exhibit inclusion and in signature completeness are all treated this way.

A conclusion reached before a delivery is revisited when the delivery is indexed, and the reviewer records whether it changed. Recording that a conclusion was revisited and did not change is as important as recording a change, because it is the only evidence that the delivery was considered at all.

Where a party's counsel states that a document will follow, the statement is indexed as correspondence and the document is recorded as not received. A reviewer may not hold a conclusion open on the expectation of a document; the conclusion is stated on the documents received, with the absence identified, and is revisited if the document arrives.

A set is closed for a decision at a stated cut-off, and the cut-off is recorded on the review record with the index version. Documents received after the cut-off are indexed and reported to the decision-maker, who decides whether to defer; the reviewer does not decide that a late document is immaterial.

Table C.1 - Delivery events during assembly and the reviewer's action

Delivery event	Reviewer's action	What is recorded	Conclusion affected
First delivery of a set	Index and class every document; record dates	Index version one	None yet
Further documents delivered	Add entries; re-index; revisit conclusions	New index version and the revisit outcome	Every conclusion in the affected area
Document replaced by a new version	Add the new entry; mark the old as replaced	Both entries and the difference	Conclusions citing the replaced entry
Second copy differing in page count	Index both; establish which was relied on	Register entry for the difference	Conclusions citing either copy
Signed counterpart arrives late	Re-verify signatures; re-date the instrument	Verification record and the new execution date	Conclusions drawn while unexecuted
Document withdrawn by the deliverer	Retain the entry; mark as withdrawn	The withdrawal and its stated reason	Conclusions citing it, which are revisited
Counsel states a document will follow	Index the statement as correspondence	That the document is not received	None; absence stated in the conclusion
Delivery after the stated cut-off	Index and report to the decision-maker	Cut-off date and the late delivery	Decision-maker decides whether to defer
Index reissued by the deliverer	Retain both indexes; reconcile them	Differences between the two indexes	Any conclusion citing an index version
Data room access withdrawn	Record the documents held and the date	Scope limitation for the review	Every open conclusion, which is qualified

Table C.2 - What the reviewer records against every conclusion

Recorded item	Why it is required
Index version relied on	Shows which documents were in the set
Cut-off date applied	Shows what was excluded and why
Governing document and its class	Shows the rank the conclusion rests on
Execution and effective dates of that document	Shows the comparison performed
Discrepancy register entries relevant to the conclusion	Shows what was not carried forward
Whether the conclusion has been revisited since sign-off	Shows the conclusion is current